# ANNUAL OPERATING BUDGET

Cypress Town Center | Riverside, CA

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| **Property** | Cypress Town Center |
| **Fiscal Year** | 2020 |
| **Submitted By** | Cobblestone Property Co. |
| **Submitted** | March 27, 2025 |

## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5000 Gross Potential Rent | $27,244 | $28,759 | $29,757 | $2,513 | 9.2% | $991.92 |
| 5010 Loss to Lease | $155,961 | $161,279 | $167,656 | $11,694 | 7.5% | $5,588.52 |
| 5020 Vacancy Loss | $174,689 | $186,206 | $199,236 | $24,546 | 14.1% | $6,641.19 |
| 5030 Concessions | $32,230 | $31,649 | $33,143 | $913 | 2.8% | $1,104.77 |
| 5040 Bad Debt | $18,768 | $19,132 | $20,201 | $1,433 | 7.6% | $673.38 |
| 5050 Late Fees | $87,031 | $86,983 | $91,545 | $4,513 | 5.2% | $3,051.49 |
| 5060 Utility Reimbursements | $139,030 | $148,994 | $155,038 | $16,008 | 11.5% | $5,167.92 |
| 5070 Parking Income | $95,630 | $93,190 | $98,712 | $3,082 | 3.2% | $3,290.40 |
| 5080 Application Fees | $49,285 | $46,961 | $47,308 | -$1,976 | -4.0% | $1,576.94 |
| 5090 Pet Rent | $127,713 | $130,835 | $132,736 | $5,023 | 3.9% | $4,424.53 |
| 5100 Laundry Income | $127,564 | $118,400 | $121,144 | -$6,420 | -5.0% | $4,038.13 |
| 5110 Cable/Internet Revenue | $85,201 | $91,699 | $98,087 | $12,885 | 15.1% | $3,269.56 |
| 5120 CAM Reimbursements | $89,195 | $89,062 | $89,342 | $147 | 0.2% | $2,978.07 |
| 5130 Tax Reimbursements | $135,274 | $134,319 | $138,254 | $2,980 | 2.2% | $4,608.47 |
| 5140 Insurance Reimbursements | $51,153 | $51,537 | $52,357 | $1,204 | 2.4% | $1,745.23 |
| 5150 Percentage Rent | $67,172 | $71,911 | $74,817 | $7,646 | 11.4% | $2,493.92 |
| 5160 Misc. Income | $62,033 | $58,478 | $59,616 | -$2,417 | -3.9% | $1,987.20 |
| 5170 Payroll - Management | $98,620 | $105,148 | $106,791 | $8,171 | 8.3% | $3,559.71 |
| 5180 Payroll - Leasing | $163,220 | $151,756 | $160,375 | -$2,845 | -1.7% | $5,345.83 |
| 5190 Payroll - Maintenance | $59,127 | $60,870 | $62,254 | $3,127 | 5.3% | $2,075.12 |
| 5200 Payroll Taxes & Benefits | $173,219 | $172,994 | $175,621 | $2,402 | 1.4% | $5,854.04 |
| 5210 Repairs - Plumbing | $86,034 | $92,503 | $92,773 | $6,739 | 7.8% | $3,092.44 |
| 5220 Repairs - HVAC | $79,069 | $78,740 | $80,312 | $1,243 | 1.6% | $2,677.06 |
| 5230 Repairs - Electrical | $19,596 | $21,116 | $21,185 | $1,589 | 8.1% | $706.18 |

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5410 Resident Events | $39,382 | $39,602 | $40,856 | $1,474 | 3.7% | $1,361.87 |
| 5420 Office Supplies | $111,330 | $113,938 | $114,878 | $3,548 | 3.2% | $3,829.26 |
| 5430 Legal & Professional | $116,034 | $124,038 | $128,452 | $12,418 | 10.7% | $4,281.72 |
| 5440 Accounting & Audit | $40,236 | $39,721 | $39,741 | -$495 | -1.2% | $1,324.69 |
| 5450 Licenses & Permits | $43,610 | $46,929 | $48,507 | $4,897 | 11.2% | $1,616.89 |
| 5460 Management Fee | $38,123 | $36,473 | $36,475 | -$1,648 | -4.3% | $1,215.83 |
| 5470 Property Insurance | $163,215 | $150,210 | $157,340 | -$5,875 | -3.6% | $5,244.67 |
| 5480 Real Estate Taxes | $145,457 | $147,519 | $149,856 | $4,398 | 3.0% | $4,995.19 |
| 5490 Asset Management Fee | $116,030 | $117,692 | $122,447 | $6,417 | 5.5% | $4,081.57 |
| 5500 Replacement Reserves | $124,048 | $122,072 | $125,518 | $1,469 | 1.2% | $4,183.92 |
| 5510 Roof Repairs | $33,284 | $33,160 | $34,800 | $1,515 | 4.6% | $1,159.99 |
| 5520 Parking Lot Repairs | $23,312 | $23,930 | $24,327 | $1,015 | 4.4% | $810.91 |
| 5530 Signage | $155,418 | $165,175 | $168,994 | $13,576 | 8.7% | $5,633.14 |
| 5540 Tenant Improvements | $37,845 | $40,450 | $40,606 | $2,761 | 7.3% | $1,353.52 |
| 5550 Leasing Commissions | $62,825 | $67,079 | $67,640 | $4,815 | 7.7% | $2,254.67 |
| 5000 Gross Potential Rent | $157,589 | $147,711 | $150,874 | -$6,715 | -4.3% | $5,029.12 |
| 5010 Loss to Lease | $142,241 | $144,621 | $154,425 | $12,184 | 8.6% | $5,147.49 |
| 5020 Vacancy Loss | $40,360 | $39,819 | $40,301 | -$59 | -0.1% | $1,343.37 |
| 5030 Concessions | $12,315 | $12,980 | $13,486 | $1,171 | 9.5% | $449.55 |
| 5040 Bad Debt | $33,578 | $35,326 | $35,441 | $1,863 | 5.5% | $1,181.36 |
| 5050 Late Fees | $91,156 | $85,746 | $86,786 | -$4,371 | -4.8% | $2,892.86 |
| 5060 Utility Reimbursements | $170,008 | $172,529 | $173,758 | $3,751 | 2.2% | $5,791.94 |
| 5070 Parking Income | $19,093 | $20,037 | $20,654 | $1,561 | 8.2% | $688.47 |
| 5080 Application Fees | $163,840 | $164,243 | $175,250 | $11,409 | 7.0% | $5,841.65 |
| 5090 Pet Rent | $36,170 | $33,537 | $33,818 | -$2,352 | -6.5% | $1,127.26 |
| 5100 Laundry Income | $18,387 | $18,345 | $19,141 | $754 | 4.1% | $638.02 |
| 5110 Cable/Internet Revenue | $160,401 | $168,774 | $173,935 | $13,534 | 8.4% | $5,797.84 |
| 5120 CAM Reimbursements | $95,885 | $101,326 | $101,789 | $5,903 | 6.2% | $3,392.96 |
| 5130 Tax Reimbursements | $111,365 | $115,470 | $121,897 | $10,532 | 9.5% | $4,063.22 |
| 5140 Insurance Reimbursements | $157,698 | $167,062 | $177,065 | $19,367 | 12.3% | $5,902.17 |
| 5150 Percentage Rent | $105,771 | $100,354 | $103,503 | -$2,268 | -2.1% | $3,450.10 |
| 5160 Misc. Income | $122,396 | $122,334 | $125,624 | $3,227 | 2.6% | $4,187.45 |
| 5170 Payroll - Management | $151,993 | $146,176 | $155,082 | $3,089 | 2.0% | $5,169.41 |
| 5180 Payroll - Leasing | $157,626 | $165,012 | $173,978 | $16,352 | 10.4% | $5,799.26 |
| 5190 Payroll - Maintenance | $135,010 | $138,080 | $138,505 | $3,495 | 2.6% | $4,616.83 |
| 5200 Payroll Taxes & Benefits | $134,112 | $140,516 | $143,125 | $9,013 | 6.7% | $4,770.84 |
| 5210 Repairs - Plumbing | $35,713 | $35,447 | $36,204 | $491 | 1.4% | $1,206.81 |
| 5220 Repairs - HVAC | $131,437 | $127,231 | $127,733 | -$3,705 | -2.8% | $4,257.75 |
| 5230 Repairs - Electrical | $157,001 | $154,340 | $156,942 | -$59 | -0.0% | $5,231.41 |
| 5240 Repairs - Appliances | $88,040 | $88,756 | $91,723 | $3,683 | 4.2% | $3,057.42 |
| 5250 Painting & Decorating | $97,190 | $92,272 | $93,613 | -$3,577 | -3.7% | $3,120.44 |

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## Financial Analysis

Debt service coverage ratio was 7.46x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $36 per square foot with parking at a ratio of 36 spaces per 1,000 square feet.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Operating expenses totaled $264,000 or approximately 36.01 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Management Commentary

Service requests are tracked through a work-order system with an average completion time of 41 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 91.6% of billed charges, with bad debt of 6.5% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.9% of billed charges, with bad debt of 7.5% of gross potential income. Average rent is $36 per square foot with parking at a ratio of 34 spaces per 1,000 square feet.

## Financial Analysis

Average rent is $36 per square foot with parking at a ratio of 35 spaces per 1,000 square feet. Operating expenses totaled $387,000 or approximately 34.17 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $248,000, representing a 5.6% increase over the prior year. The going-in capitalization rate of 6.00% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.34x on a trailing basis against a covenant minimum of 1.20x.

Average rent is $36 per square foot with parking at a ratio of 37 spaces per 1,000 square feet. Debt service coverage ratio was 5.51x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.9% of billed charges, with bad debt of 6.5% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Service requests are tracked through a work-order system with an average completion time of 30 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $36 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 24 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Valuation Discussion

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 8.0% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Effective gross income for the trailing period was $131,000, representing a 6.8% increase over the prior year. The going-in capitalization rate of 5.56% reflects the in-place income and the stabilized occupancy assumption.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 6.36x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $142,000, representing a 10.0% increase over the prior year.

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5260 Flooring | $26,575 | $26,714 | $27,046 | $470 | 1.8% | $901.52 |
| 5270 Make-Ready / Turnover | $19,288 | $19,166 | $19,272 | -$16 | -0.1% | $642.40 |
| 5280 Landscaping Contract | $105,774 | $103,506 | $104,101 | -$1,673 | -1.6% | $3,470.02 |
| 5290 Snow Removal | $152,010 | $157,098 | $158,502 | $6,492 | 4.3% | $5,283.41 |
| 5300 Janitorial | $156,780 | $149,692 | $152,544 | -$4,237 | -2.7% | $5,084.79 |
| 5310 Pest Control | $148,179 | $155,348 | $158,575 | $10,396 | 7.0% | $5,285.82 |
| 5320 Trash Removal | $9,790 | $10,179 | $10,431 | $641 | 6.5% | $347.72 |
| 5330 Elevator Contract | $140,873 | $150,885 | $156,052 | $15,179 | 10.8% | $5,201.72 |
| 5340 Fire & Life Safety | $67,582 | $63,461 | $66,320 | -$1,262 | -1.9% | $2,210.66 |
| 5350 Security | $158,714 | $153,531 | $156,591 | -$2,123 | -1.3% | $5,219.70 |
| 5360 Electricity - Common | $68,202 | $67,616 | $67,646 | -$557 | -0.8% | $2,254.85 |
| 5370 Gas - Common | $135,043 | $134,322 | $138,842 | $3,799 | 2.8% | $4,628.07 |
| 5380 Water & Sewer | $55,765 | $57,289 | $60,239 | $4,474 | 8.0% | $2,007.95 |
| 5390 Telephone/Internet | $49,530 | $52,022 | $55,328 | $5,798 | 11.7% | $1,844.26 |
| 5400 Advertising | $122,333 | $124,190 | $126,409 | $4,076 | 3.3% | $4,213.64 |
| 5410 Resident Events | $121,941 | $122,251 | $122,480 | $538 | 0.4% | $4,082.65 |
| 5420 Office Supplies | $158,181 | $148,114 | $158,135 | -$46 | -0.0% | $5,271.18 |
| 5430 Legal & Professional | $82,475 | $82,814 | $84,040 | $1,565 | 1.9% | $2,801.33 |
| 5440 Accounting & Audit | $15,726 | $15,039 | $15,359 | -$368 | -2.3% | $511.95 |
| 5450 Licenses & Permits | $7,947 | $8,076 | $8,088 | $141 | 1.8% | $269.59 |
| 5460 Management Fee | $77,889 | $77,907 | $78,953 | $1,064 | 1.4% | $2,631.78 |
| 5470 Property Insurance | $121,009 | $125,372 | $125,630 | $4,622 | 3.8% | $4,187.67 |
| 5480 Real Estate Taxes | $109,414 | $101,961 | $107,423 | -$1,991 | -1.8% | $3,580.76 |
| 5490 Asset Management Fee | $17,005 | $16,172 | $16,743 | -$263 | -1.5% | $558.09 |
| 5500 Replacement Reserves | $174,912 | $180,928 | $182,578 | $7,666 | 4.4% | $6,085.95 |
| 5510 Roof Repairs | $11,645 | $10,812 | $11,227 | -$418 | -3.6% | $374.24 |
| 5520 Parking Lot Repairs | $26,728 | $25,740 | $26,059 | -$670 | -2.5% | $868.62 |
| 5530 Signage | $109,919 | $103,439 | $109,924 | $5 | 0.0% | $3,664.14 |
| 5540 Tenant Improvements | $88,468 | $89,149 | $93,460 | $4,992 | 5.6% | $3,115.32 |
| 5550 Leasing Commissions | $104,327 | $107,587 | $107,700 | $3,374 | 3.2% | $3,590.01 |
| 5000 Gross Potential Rent | $52,312 | $54,014 | $56,890 | $4,578 | 8.8% | $1,896.33 |
| 5010 Loss to Lease | $13,261 | $14,074 | $14,609 | $1,348 | 10.2% | $486.96 |
| 5020 Vacancy Loss | $115,780 | $122,645 | $130,918 | $15,138 | 13.1% | $4,363.93 |
| 5030 Concessions | $11,708 | $11,287 | $11,658 | -$51 | -0.4% | $388.59 |
| 5040 Bad Debt | $72,456 | $72,893 | $77,251 | $4,795 | 6.6% | $2,575.02 |
| 5050 Late Fees | $27,153 | $27,641 | $28,287 | $1,133 | 4.2% | $942.89 |
| 5060 Utility Reimbursements | $72,406 | $77,027 | $78,166 | $5,759 | 8.0% | $2,605.52 |
| 5070 Parking Income | $87,515 | $91,106 | $96,999 | $9,484 | 10.8% | $3,233.30 |
| 5080 Application Fees | $73,957 | $71,682 | $73,448 | -$510 | -0.7% | $2,448.26 |
| 5090 Pet Rent | $70,794 | $72,632 | $73,364 | $2,569 | 3.6% | $2,445.45 |
| 5100 Laundry Income | $174,225 | $170,158 | $171,721 | -$2,504 | -1.4% | $5,724.03 |

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## Income and Expense Review

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Operating expenses totaled $62,000 or approximately 27.53 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $67,000, representing a 6.9% increase over the prior year. Debt service coverage ratio was 5.93x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Property Operations

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 89.1% of billed charges, with bad debt of 3.1% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $36 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 34 hours.

Service requests are tracked through a work-order system with an average completion time of 20 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 94.7% of billed charges, with bad debt of 3.5% of gross potential income.

## Operating Performance

The going-in capitalization rate of 5.24% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

The going-in capitalization rate of 6.42% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $47,000, representing a 13.5% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 5.56x on a trailing basis against a covenant minimum of 1.20x.

## Leasing and Marketing

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 95.2% of billed charges, with bad debt of 6.7% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. Collections for the period were 92.4% of billed charges, with bad debt of 4.5% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Valuation Discussion

Operating expenses totaled $159,000 or approximately 9.36 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. The going-in capitalization rate of 6.55% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

The going-in capitalization rate of 5.49% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $36 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Operating expenses totaled $227,000 or approximately 6.53 per square foot, with real estate taxes representing the largest line item.

## Property Operations

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5110 Cable/Internet Revenue | $151,792 | $161,386 | $165,196 | $13,404 | 8.8% | $5,506.53 |
| 5120 CAM Reimbursements | $128,803 | $123,400 | $129,046 | $243 | 0.2% | $4,301.54 |
| 5130 Tax Reimbursements | $81,232 | $85,972 | $89,864 | $8,632 | 10.6% | $2,995.47 |
| 5140 Insurance Reimbursements | $143,807 | $137,612 | $141,664 | -$2,143 | -1.5% | $4,722.15 |
| 5150 Percentage Rent | $93,299 | $91,456 | $91,917 | -$1,382 | -1.5% | $3,063.90 |
| 5160 Misc. Income | $17,074 | $16,422 | $17,358 | $283 | 1.7% | $578.59 |
| 5170 Payroll - Management | $42,419 | $42,600 | $42,833 | $414 | 1.0% | $1,427.78 |
| 5180 Payroll - Leasing | $175,152 | $185,460 | $186,448 | $11,296 | 6.4% | $6,214.93 |
| 5190 Payroll - Maintenance | $103,581 | $97,556 | $100,774 | -$2,807 | -2.7% | $3,359.13 |
| 5200 Payroll Taxes & Benefits | $22,700 | $22,340 | $23,209 | $509 | 2.2% | $773.64 |
| 5210 Repairs - Plumbing | $121,971 | $119,551 | $122,834 | $862 | 0.7% | $4,094.45 |
| 5220 Repairs - HVAC | $123,927 | $124,098 | $129,502 | $5,575 | 4.5% | $4,316.72 |
| 5230 Repairs - Electrical | $154,025 | $153,030 | $157,247 | $3,222 | 2.1% | $5,241.57 |
| 5240 Repairs - Appliances | $13,217 | $12,677 | $12,986 | -$231 | -1.7% | $432.86 |
| 5250 Painting & Decorating | $34,965 | $33,743 | $35,645 | $680 | 1.9% | $1,188.15 |
| 5260 Flooring | $99,595 | $101,587 | $108,197 | $8,602 | 8.6% | $3,606.56 |
| 5270 Make-Ready / Turnover | $129,760 | $124,499 | $130,151 | $391 | 0.3% | $4,338.36 |
| 5280 Landscaping Contract | $28,156 | $26,909 | $28,461 | $305 | 1.1% | $948.69 |
| 5290 Snow Removal | $8,431 | $8,627 | $8,828 | $397 | 4.7% | $294.28 |
| 5300 Janitorial | $44,163 | $47,640 | $48,094 | $3,931 | 8.9% | $1,603.14 |
| 5310 Pest Control | $156,741 | $150,296 | $151,504 | -$5,237 | -3.3% | $5,050.13 |
| 5320 Trash Removal | $93,136 | $90,804 | $95,992 | $2,855 | 3.1% | $3,199.72 |
| 5330 Elevator Contract | $110,201 | $102,405 | $104,975 | -$5,227 | -4.7% | $3,499.16 |
| 5340 Fire & Life Safety | $126,521 | $129,091 | $135,418 | $8,896 | 7.0% | $4,513.92 |
| 5350 Security | $86,601 | $81,474 | $84,356 | -$2,245 | -2.6% | $2,811.88 |
| 5360 Electricity - Common | $152,287 | $144,984 | $151,150 | -$1,137 | -0.7% | $5,038.34 |
| 5370 Gas - Common | $20,498 | $20,905 | $21,496 | $998 | 4.9% | $716.55 |
| 5380 Water & Sewer | $18,835 | $20,158 | $21,428 | $2,593 | 13.8% | $714.26 |
| 5390 Telephone/Internet | $119,343 | $111,773 | $113,128 | -$6,215 | -5.2% | $3,770.93 |
| 5400 Advertising | $35,915 | $36,756 | $37,450 | $1,535 | 4.3% | $1,248.35 |
| 5410 Resident Events | $50,984 | $50,679 | $51,370 | $386 | 0.8% | $1,712.34 |
| 5420 Office Supplies | $17,294 | $16,604 | $16,979 | -$315 | -1.8% | $565.96 |
| 5430 Legal & Professional | $106,963 | $99,472 | $105,370 | -$1,593 | -1.5% | $3,512.34 |
| 5440 Accounting & Audit | $75,079 | $75,045 | $79,683 | $4,603 | 6.1% | $2,656.09 |
| 5450 Licenses & Permits | $23,538 | $22,893 | $23,494 | -$44 | -0.2% | $783.12 |
| 5460 Management Fee | $75,487 | $74,539 | $79,722 | $4,235 | 5.6% | $2,657.40 |
| 5470 Property Insurance | $158,216 | $163,784 | $170,176 | $11,960 | 7.6% | $5,672.55 |
| 5480 Real Estate Taxes | $118,187 | $120,338 | $120,803 | $2,616 | 2.2% | $4,026.75 |
| 5490 Asset Management Fee | $157,574 | $162,304 | $167,205 | $9,630 | 6.1% | $5,573.48 |
| 5500 Replacement Reserves | $27,513 | $27,119 | $28,326 | $812 | 3.0% | $944.19 |
| 5510 Roof Repairs | $18,353 | $18,301 | $18,367 | $14 | 0.1% | $612.23 |

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## Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $36 per square foot with parking at a ratio of 20 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 6.03% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $36 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. Operating expenses totaled $465,000 or approximately 39.86 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses.

## Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 94.5% of billed charges, with bad debt of 4.7% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Average rent is $36 per square foot with parking at a ratio of 4 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

## Income and Expense Review

Effective gross income for the trailing period was $442,000, representing a 2.1% increase over the prior year. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. The going-in capitalization rate of 8.07% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Debt service coverage ratio was 8.00x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $433,000 or approximately 25.53 per square foot, with real estate taxes representing the largest line item. Average rent is $36 per square foot with parking at a ratio of 33 spaces per 1,000 square feet. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses.

## Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 88.2% of billed charges, with bad debt of 4.4% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day.

Service requests are tracked through a work-order system with an average completion time of 15 hours. Average rent is $36 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 89.2% of billed charges, with bad debt of 5.9% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day.

## Income and Expense Review

The going-in capitalization rate of 8.13% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Operating expenses totaled $97,000 or approximately 13.66 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5000 Gross Potential Rent | $52,327 | $50,545 | $51,097 | -$1,229 | -2.3% | $1,703.23 |
| 5010 Loss to Lease | $116,264 | $115,017 | $118,272 | $2,007 | 1.7% | $3,942.39 |
| 5020 Vacancy Loss | $61,211 | $60,150 | $64,341 | $3,130 | 5.1% | $2,144.70 |
| 5030 Concessions | $56,896 | $55,614 | $58,729 | $1,832 | 3.2% | $1,957.63 |
| 5040 Bad Debt | $57,836 | $55,150 | $58,999 | $1,163 | 2.0% | $1,966.63 |
| 5050 Late Fees | $57,645 | $56,097 | $59,551 | $1,907 | 3.3% | $1,985.04 |
| 5060 Utility Reimbursements | $64,411 | $67,046 | $69,876 | $5,466 | 8.5% | $2,329.21 |
| 5070 Parking Income | $100,763 | $108,813 | $115,117 | $14,355 | 14.2% | $3,837.25 |
| 5080 Application Fees | $75,231 | $71,765 | $76,749 | $1,518 | 2.0% | $2,558.30 |
| 5090 Pet Rent | $109,265 | $108,359 | $115,852 | $6,587 | 6.0% | $3,861.74 |
| 5100 Laundry Income | $134,933 | $125,810 | $133,989 | -$944 | -0.7% | $4,466.31 |
| 5110 Cable/Internet Revenue | $67,373 | $69,062 | $73,527 | $6,154 | 9.1% | $2,450.89 |
| 5120 CAM Reimbursements | $10,336 | $10,124 | $10,264 | -$72 | -0.7% | $342.12 |
| 5130 Tax Reimbursements | $58,600 | $62,912 | $63,414 | $4,813 | 8.2% | $2,113.79 |
| 5140 Insurance Reimbursements | $174,680 | $178,576 | $178,899 | $4,219 | 2.4% | $5,963.29 |
| 5150 Percentage Rent | $89,609 | $85,277 | $90,557 | $948 | 1.1% | $3,018.57 |
| 5160 Misc. Income | $122,338 | $131,538 | $139,735 | $17,397 | 14.2% | $4,657.83 |
| 5170 Payroll - Management | $104,649 | $107,763 | $110,738 | $6,089 | 5.8% | $3,691.27 |
| 5180 Payroll - Leasing | $58,318 | $60,511 | $63,809 | $5,492 | 9.4% | $2,126.98 |
| 5190 Payroll - Maintenance | $35,950 | $33,600 | $35,511 | -$440 | -1.2% | $1,183.69 |
| 5200 Payroll Taxes & Benefits | $99,016 | $102,378 | $104,187 | $5,171 | 5.2% | $3,472.91 |
| 5210 Repairs - Plumbing | $160,862 | $172,857 | $182,130 | $21,268 | 13.2% | $6,071.00 |
| 5220 Repairs - HVAC | $140,815 | $135,014 | $143,110 | $2,295 | 1.6% | $4,770.35 |
| 5230 Repairs - Electrical | $67,521 | $64,616 | $67,429 | -$91 | -0.1% | $2,247.64 |
| 5240 Repairs - Appliances | $47,472 | $45,216 | $48,347 | $875 | 1.8% | $1,611.57 |
| 5250 Painting & Decorating | $92,326 | $96,770 | $101,303 | $8,977 | 9.7% | $3,376.78 |
| 5260 Flooring | $111,164 | $104,592 | $105,764 | -$5,400 | -4.9% | $3,525.47 |
| 5270 Make-Ready / Turnover | $169,261 | $171,092 | $181,204 | $11,944 | 7.1% | $6,040.14 |
| 5280 Landscaping Contract | $93,910 | $86,541 | $86,545 | -$7,365 | -7.8% | $2,884.83 |
| 5290 Snow Removal | $87,564 | $91,629 | $96,289 | $8,725 | 10.0% | $3,209.63 |
| 5300 Janitorial | $84,382 | $82,790 | $88,345 | $3,963 | 4.7% | $2,944.85 |
| 5310 Pest Control | $90,245 | $83,493 | $86,158 | -$4,087 | -4.5% | $2,871.95 |
| 5320 Trash Removal | $11,229 | $11,660 | $11,764 | $535 | 4.8% | $392.13 |
| 5330 Elevator Contract | $16,712 | $17,704 | $18,552 | $1,839 | 11.0% | $618.39 |
| 5340 Fire & Life Safety | $29,188 | $26,877 | $27,853 | -$1,335 | -4.6% | $928.44 |
| 5350 Security | $39,876 | $42,079 | $44,905 | $5,030 | 12.6% | $1,496.85 |
| 5360 Electricity - Common | $12,554 | $12,604 | $13,240 | $686 | 5.5% | $441.32 |
| 5370 Gas - Common | $19,351 | $20,876 | $22,128 | $2,777 | 14.3% | $737.60 |
| 5380 Water & Sewer | $52,999 | $55,894 | $56,150 | $3,151 | 5.9% | $1,871.67 |
| 5390 Telephone/Internet | $48,019 | $48,128 | $51,220 | $3,201 | 6.7% | $1,707.33 |
| 5400 Advertising | $162,269 | $171,548 | $174,722 | $12,453 | 7.7% | $5,824.07 |
| 5410 Resident Events | $101,939 | $106,123 | $107,069 | $5,131 | 5.0% | $3,568.98 |

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## Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. Debt service coverage ratio was 7.38x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $101,000, representing a 13.6% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $36 per square foot with parking at a ratio of 43 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Effective gross income for the trailing period was $404,000, representing a 12.4% increase over the prior year. Average rent is $36 per square foot with parking at a ratio of 44 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. The going-in capitalization rate of 6.04% reflects the in-place income and the stabilized occupancy assumption.

## Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 22 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Collections for the period were 92.3% of billed charges, with bad debt of 4.5% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

## Financial Analysis

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 5.82x on a trailing basis against a covenant minimum of 1.20x. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $274,000 or approximately 46.71 per square foot, with real estate taxes representing the largest line item. Average rent is $36 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 8.03% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $217,000 or approximately 39.09 per square foot, with real estate taxes representing the largest line item. Average rent is $36 per square foot with parking at a ratio of 16 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Management Commentary

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Income and Expense Review

Average rent is $36 per square foot with parking at a ratio of 35 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 7.54x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.09% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $130,000 or approximately 8.32 per square foot, with real estate taxes representing the largest line item.

The going-in capitalization rate of 8.13% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $36 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Management Commentary

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5320 Trash Removal | $59,710 | $63,702 | $66,542 | $6,832 | 11.4% | $2,218.06 |
| 5330 Elevator Contract | $134,636 | $124,690 | $132,067 | -$2,568 | -1.9% | $4,402.24 |
| 5340 Fire & Life Safety | $33,065 | $35,379 | $35,837 | $2,772 | 8.4% | $1,194.57 |
| 5350 Security | $36,195 | $39,036 | $41,554 | $5,359 | 14.8% | $1,385.13 |
| 5360 Electricity - Common | $21,635 | $22,343 | $22,667 | $1,031 | 4.8% | $755.55 |
| 5370 Gas - Common | $76,540 | $76,730 | $77,898 | $1,358 | 1.8% | $2,596.60 |
| 5380 Water & Sewer | $111,432 | $104,063 | $107,814 | -$3,618 | -3.2% | $3,593.78 |
| 5390 Telephone/Internet | $98,061 | $100,177 | $105,652 | $7,590 | 7.7% | $3,521.72 |
| 5400 Advertising | $69,966 | $74,352 | $79,010 | $9,044 | 12.9% | $2,633.67 |
| 5410 Resident Events | $147,421 | $145,094 | $148,135 | $714 | 0.5% | $4,937.83 |
| 5420 Office Supplies | $57,328 | $54,216 | $55,086 | -$2,242 | -3.9% | $1,836.22 |
| 5430 Legal & Professional | $158,763 | $168,413 | $175,897 | $17,133 | 10.8% | $5,863.22 |
| 5440 Accounting & Audit | $112,593 | $111,661 | $113,238 | $645 | 0.6% | $3,774.60 |
| 5450 Licenses & Permits | $16,935 | $16,490 | $16,852 | -$83 | -0.5% | $561.75 |
| 5460 Management Fee | $34,039 | $35,551 | $36,647 | $2,608 | 7.7% | $1,221.58 |
| 5470 Property Insurance | $141,882 | $135,221 | $141,567 | -$315 | -0.2% | $4,718.89 |
| 5480 Real Estate Taxes | $86,924 | $93,166 | $98,152 | $11,229 | 12.9% | $3,271.75 |
| 5490 Asset Management Fee | $130,880 | $136,101 | $137,196 | $6,317 | 4.8% | $4,573.21 |
| 5500 Replacement Reserves | $97,295 | $99,794 | $100,759 | $3,464 | 3.6% | $3,358.62 |
| 5510 Roof Repairs | $105,857 | $101,996 | $105,567 | -$290 | -0.3% | $3,518.90 |
| 5520 Parking Lot Repairs | $133,492 | $135,901 | $145,201 | $11,710 | 8.8% | $4,840.05 |
| 5530 Signage | $168,255 | $155,095 | $165,229 | -$3,025 | -1.8% | $5,507.65 |
| 5540 Tenant Improvements | $44,486 | $45,306 | $46,221 | $1,734 | 3.9% | $1,540.69 |
| 5550 Leasing Commissions | $154,819 | $143,293 | $146,170 | -$8,649 | -5.6% | $4,872.34 |
| 5000 Gross Potential Rent | $95,859 | $92,145 | $96,925 | $1,066 | 1.1% | $3,230.83 |
| 5010 Loss to Lease | $96,716 | $96,006 | $99,727 | $3,011 | 3.1% | $3,324.23 |
| 5020 Vacancy Loss | $42,215 | $43,816 | $44,361 | $2,146 | 5.1% | $1,478.71 |
| 5030 Concessions | $86,282 | $90,581 | $95,023 | $8,741 | 10.1% | $3,167.43 |
| 5040 Bad Debt | $163,126 | $174,122 | $175,518 | $12,391 | 7.6% | $5,850.59 |
| 5050 Late Fees | $110,979 | $111,949 | $118,133 | $7,154 | 6.4% | $3,937.76 |
| 5060 Utility Reimbursements | $25,706 | $25,508 | $25,803 | $98 | 0.4% | $860.10 |
| 5070 Parking Income | $58,202 | $61,464 | $64,265 | $6,063 | 10.4% | $2,142.17 |
| 5080 Application Fees | $124,572 | $116,805 | $119,858 | -$4,714 | -3.8% | $3,995.28 |
| 5090 Pet Rent | $108,231 | $105,783 | $110,602 | $2,372 | 2.2% | $3,686.74 |
| 5100 Laundry Income | $171,545 | $181,017 | $188,747 | $17,202 | 10.0% | $6,291.57 |
| 5110 Cable/Internet Revenue | $82,854 | $89,170 | $94,660 | $11,806 | 14.2% | $3,155.32 |
| 5120 CAM Reimbursements | $27,575 | $29,595 | $31,098 | $3,523 | 12.8% | $1,036.61 |
| 5130 Tax Reimbursements | $63,656 | $61,227 | $64,394 | $738 | 1.2% | $2,146.47 |
| 5140 Insurance Reimbursements | $147,804 | $141,608 | $147,982 | $178 | 0.1% | $4,932.75 |
| 5150 Percentage Rent | $136,780 | $133,061 | $136,818 | $38 | 0.0% | $4,560.60 |

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## Income and Expense Review

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $52,000 or approximately 22.05 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $36 per square foot with parking at a ratio of 8 spaces per 1,000 square feet.

Operating expenses totaled $409,000 or approximately 15.10 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $410,000, representing a 8.7% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

## Leasing and Marketing

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 90.1% of billed charges, with bad debt of 5.0% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day.

Service requests are tracked through a work-order system with an average completion time of 30 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.1% of billed charges, with bad debt of 6.0% of gross potential income. Average rent is $36 per square foot with parking at a ratio of 14 spaces per 1,000 square feet.

## Income and Expense Review

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. The going-in capitalization rate of 7.09% reflects the in-place income and the stabilized occupancy assumption.

Average rent is $36 per square foot with parking at a ratio of 22 spaces per 1,000 square feet. Debt service coverage ratio was 5.29x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $375,000, representing a 10.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period.

## Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Collections for the period were 94.1% of billed charges, with bad debt of 6.6% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 16 hours. Collections for the period were 94.7% of billed charges, with bad debt of 4.5% of gross potential income.

## Valuation Discussion

Operating expenses totaled $375,000 or approximately 31.33 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 7.28% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Management Commentary

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5160 Misc. Income | $37,187 | $39,207 | $40,412 | $3,225 | 8.7% | $1,347.07 |
| 5170 Payroll - Management | $99,520 | $103,812 | $109,051 | $9,530 | 9.6% | $3,635.02 |
| 5180 Payroll - Leasing | $29,184 | $28,181 | $29,070 | -$114 | -0.4% | $969.00 |
| 5190 Payroll - Maintenance | $150,138 | $160,422 | $164,125 | $13,988 | 9.3% | $5,470.85 |
| 5200 Payroll Taxes & Benefits | $92,146 | $86,371 | $90,561 | -$1,586 | -1.7% | $3,018.69 |
| 5210 Repairs - Plumbing | $172,858 | $182,433 | $193,201 | $20,343 | 11.8% | $6,440.04 |
| 5220 Repairs - HVAC | $158,619 | $168,696 | $175,542 | $16,923 | 10.7% | $5,851.39 |
| 5230 Repairs - Electrical | $31,172 | $32,266 | $33,367 | $2,195 | 7.0% | $1,112.23 |
| 5240 Repairs - Appliances | $59,729 | $63,278 | $65,536 | $5,807 | 9.7% | $2,184.53 |
| 5250 Painting & Decorating | $72,174 | $71,796 | $76,312 | $4,138 | 5.7% | $2,543.74 |
| 5260 Flooring | $15,395 | $15,546 | $15,960 | $565 | 3.7% | $531.99 |
| 5270 Make-Ready / Turnover | $93,189 | $98,373 | $104,429 | $11,239 | 12.1% | $3,480.96 |
| 5280 Landscaping Contract | $113,920 | $107,006 | $113,821 | -$99 | -0.1% | $3,794.04 |
| 5290 Snow Removal | $66,499 | $66,430 | $67,792 | $1,293 | 1.9% | $2,259.74 |
| 5300 Janitorial | $135,347 | $126,021 | $126,346 | -$9,001 | -6.7% | $4,211.54 |
| 5310 Pest Control | $53,048 | $56,955 | $59,807 | $6,759 | 12.7% | $1,993.57 |
| 5320 Trash Removal | $60,318 | $57,204 | $59,969 | -$349 | -0.6% | $1,998.98 |
| 5330 Elevator Contract | $58,759 | $54,784 | $58,529 | -$230 | -0.4% | $1,950.96 |
| 5340 Fire & Life Safety | $70,592 | $65,615 | $68,412 | -$2,180 | -3.1% | $2,280.39 |
| 5350 Security | $123,857 | $124,694 | $128,273 | $4,417 | 3.6% | $4,275.77 |
| 5360 Electricity - Common | $78,067 | $78,574 | $78,964 | $897 | 1.1% | $2,632.13 |
| 5370 Gas - Common | $29,974 | $31,909 | $32,166 | $2,192 | 7.3% | $1,072.19 |
| 5380 Water & Sewer | $57,910 | $59,740 | $62,192 | $4,282 | 7.4% | $2,073.07 |
| 5390 Telephone/Internet | $133,515 | $127,905 | $135,736 | $2,220 | 1.7% | $4,524.52 |
| 5400 Advertising | $131,006 | $137,973 | $140,563 | $9,557 | 7.3% | $4,685.44 |
| 5410 Resident Events | $112,365 | $120,918 | $129,332 | $16,967 | 15.1% | $4,311.08 |
| 5420 Office Supplies | $114,534 | $117,743 | $122,951 | $8,416 | 7.3% | $4,098.35 |
| 5430 Legal & Professional | $113,354 | $113,169 | $115,056 | $1,702 | 1.5% | $3,835.21 |
| 5440 Accounting & Audit | $115,175 | $114,775 | $120,444 | $5,269 | 4.6% | $4,014.81 |
| 5450 Licenses & Permits | $136,200 | $138,703 | $146,635 | $10,435 | 7.7% | $4,887.83 |
| 5460 Management Fee | $84,998 | $81,884 | $83,791 | -$1,206 | -1.4% | $2,793.05 |
| 5470 Property Insurance | $125,649 | $135,543 | $138,110 | $12,460 | 9.9% | $4,603.65 |
| 5480 Real Estate Taxes | $126,415 | $119,279 | $125,935 | -$480 | -0.4% | $4,197.85 |
| 5490 Asset Management Fee | $111,212 | $109,108 | $111,471 | $259 | 0.2% | $3,715.70 |
| 5500 Replacement Reserves | $145,362 | $136,320 | $141,529 | -$3,833 | -2.6% | $4,717.64 |
| 5510 Roof Repairs | $120,560 | $115,899 | $122,617 | $2,057 | 1.7% | $4,087.23 |
| 5520 Parking Lot Repairs | $93,969 | $92,382 | $98,388 | $4,420 | 4.7% | $3,279.61 |
| 5530 Signage | $27,054 | $28,887 | $29,927 | $2,873 | 10.6% | $997.58 |
| 5540 Tenant Improvements | $78,676 | $75,813 | $76,863 | -$1,813 | -2.3% | $2,562.09 |
| 5550 Leasing Commissions | $166,840 | $164,610 | $165,536 | -$1,304 | -0.8% | $5,517.87 |

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## Financial Analysis

Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Effective gross income for the trailing period was $96,000, representing a 3.1% increase over the prior year. Operating expenses totaled $133,000 or approximately 12.58 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Debt service coverage ratio was 6.81x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. Average rent is $36 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Operating expenses totaled $280,000 or approximately 38.03 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Service requests are tracked through a work-order system with an average completion time of 6 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 89.4% of billed charges, with bad debt of 5.6% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

## Income and Expense Review

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $135,000, representing a 2.7% increase over the prior year. The going-in capitalization rate of 7.75% reflects the in-place income and the stabilized occupancy assumption.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $36 per square foot with parking at a ratio of 27 spaces per 1,000 square feet. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.68x on a trailing basis against a covenant minimum of 1.20x. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period.

## Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 88.6% of billed charges, with bad debt of 7.5% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average rent is $36 per square foot with parking at a ratio of 29 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 11 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Income and Expense Review

Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Average rent is $36 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $393,000, representing a 5.0% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Average rent is $36 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Operating expenses totaled $48,000 or approximately 31.20 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.39% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period.

## Property Operations

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# Summary and Notes

## Valuation Discussion

Debt service coverage ratio was 6.00x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.22% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $36 per square foot with parking at a ratio of 45 spaces per 1,000 square feet. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 5.56x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $210,000 or approximately 36.81 per square foot, with real estate taxes representing the largest line item. Average rent is $36 per square foot with parking at a ratio of 35 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Leasing and Marketing

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Average rent is $36 per square foot with parking at a ratio of 6 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 32 hours.

Average rent is $36 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 8 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day.

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